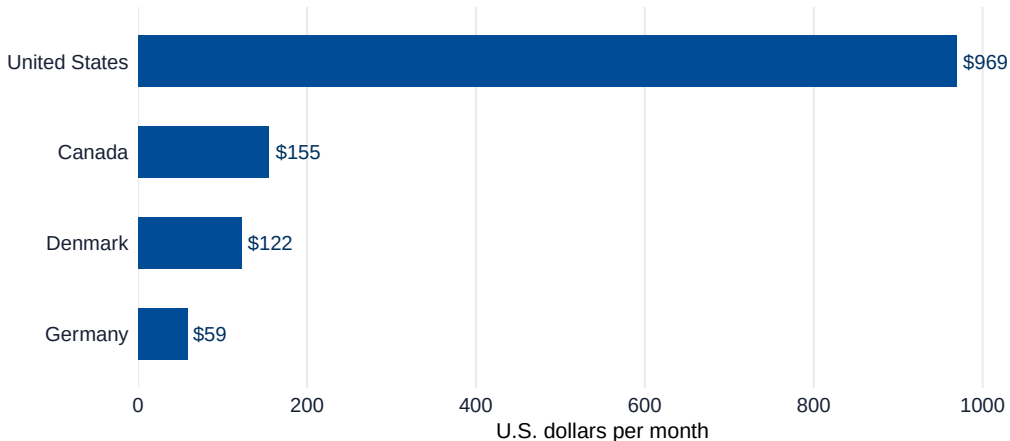


Ozempic: reported monthly prices

September 2024 | Comparison reported by the U.S. Senate HELP Committee



Source: U.S. Senate HELP Committee, September 20, 2024. Historical reported monthly prices, not patient payments. Dose and exchange rate comparison methods are not specified in the advisory.

Activity: Which Medical Price Changed?

Same service, quantity, and quality in both years. No other charges.

Payment	Year 1	Year 2
Patient	\$20	\$30
Insurer	\$80	\$70
Provider's total	\$100	\$100

1. By what percentage does the patient's payment rise?
2. Does the provider receive more for the same service?
3. Can this example tell us the national medical inflation rate?

Discuss with a neighbor before we compare answers.

Patient payment: up 50%. Total received: unchanged.

One service cannot establish the national medical inflation rate.

Source: Hypothetical application of BLS medical price measurement.

Limitations of the CPI

- ▶ **Different spending patterns:** households buying more medical care may experience different price changes.
- ▶ **Substitution:** consumers can switch toward relatively cheaper goods. An unchanged basket misses this response.
- ▶ **New goods and quality:** a better treatment is not the same product at a different price. Statistical agencies must account for these changes.

Source: Krugman and Wells, Chapter 7; BLS, quality adjustment. Official CPI methods address these problems; the fixed basket is our introductory model.

Application: Better Health, Less Measured Care?

A preventive treatment improves health and reduces hospital visits.

- ▶ Hospital production falls. The treatment itself still requires resources and spending.
- ▶ A hospital manager, a patient, and a policymaker may focus on different outcomes.

Which evidence would you add to GDP to evaluate the change?

Health outcomes, access to care, patient costs, and time saved.

GDP alone does not measure the full benefit or establish the change in total output.

Source: FDA, March 8, 2024; BEA, GDP and Beyond. The activity is hypothetical, not a measured national effect of one medicine.